

HOUSE BILL 1958

By Alexander

AN ACT to amend Tennessee Code Annotated, Title 50,
Chapter 2, Part 1, relative to employee
compensation.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 50-2-103(a)(2), is amended by
deleting the subdivision and substituting:

(2) For each employer that makes wage payments once monthly to employees
in private employments, all wages or compensation earned and unpaid prior to the first
day of any month are due and payable no later than the fifth day of the succeeding
month; except that, if an employee is employed on a piece-work or commission basis,
then compensation earned is due and payable by the last day of the succeeding month.

SECTION 2. Tennessee Code Annotated, Section 50-2-103(g), is amended by deleting
the subsection and substituting:

(g) Any employee who leaves or is discharged from employment must be paid in
full all wages or salary earned by the employee no later than the next regular pay day
following the date of dismissal or voluntary leaving, or twenty-one (21) days following the
date of discharge or voluntary leaving, whichever occurs last; except that, if an employee
is employed on a piece-work or commission basis, then compensation earned is due
and payable by the last day of the succeeding month following the date of discharge or
voluntary leaving. An employer shall not, by any means, secure an exemption from this
subsection (g).

SECTION 3. This act takes effect July 1, 2026, the public welfare requiring it, and
applies to wages and compensation earned on or after that date.